

FREESTONE RE LTD.

(A Wholly-Owned Subsidiary of American National Group, Inc.)

Consolidated Financial Statements and Independent Auditor's Report

For the years ended December 31, 2025 and 2024

FREESTONE RE LTD.
(A Wholly-Owned Subsidiary of American National Group, Inc.)

TABLE OF CONTENTS

Independent Auditor's Report	<u>2</u>
Consolidated Financial Statements	
Consolidated Statements of Financial Position as of December 31, 2025 and 2024	4
Consolidated Statements of Operations for the years ended December 31, 2025 and 2024	5
Consolidated Statement of Comprehensive Income for the years ended December 31, 2025 and 2024	6
Consolidated Statements of Changes in Equity for the years ended December 31, 2025 and 2024	7
Consolidated Statements of Cash Flows for the years ended December 31, 2025 and 2024	8
Notes to the Consolidated Financial Statements	
Note 1 - Organization and Nature of Operations	9
Note 2 - Summary of Significant Accounting Policies and Practices	9
Note 3 - Recently Issued Accounting Pronouncements	13
Note 4 - Deferred Policy Acquisition Costs	13
Note 5 - Cost of Reinsurance	13
Note 6 - Other Reinsurance Expenses	13
Note 7 - Embedded Derivative	14
Note 8 - Fair Value Measurement	14
Note 9 - Income Taxes	15
Note 10 - Accumulated Other Comprehensive Income	16
Note 11 - Related Party Transactions	17
Note 12 - Policyholders' Account Balance	17
Note 13 - Future Policy Benefits	21
Note 14 - Market Risk Benefits	21
Note 15 - Regulatory Capital	21
Note 16 - Commitments and Contingencies	22
Note 17 - Subsequent Events	22

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors of
Freestone Re Ltd.:

Opinion

We have audited the consolidated financial statements of Freestone Re Ltd. (the "Company"), which comprise the consolidated statements of financial position as of December 31, 2025 and 2024, and the related consolidated statements of operations, comprehensive income, changes in equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a

material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Deloitte + Touche LLP

April 29, 2026

FREESTONE RE LTD.
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
DECEMBER 31, 2025 AND 2024

(In thousands of United States Dollars, except per share data)

	<i>Notes</i>	December 31, 2025	December 31, 2024
ASSETS			
Cash and cash equivalents	8	\$ 270,494	\$ 281,321
Deferred policy acquisition costs	4	1,472,958	131,727
Current tax asset	9	35,215	1,576
Deferred tax asset	9	262,440	326,600
Cost of reinsurance	5	4,773,480	5,222,216
Reinsurance funds withheld	7, 8	50,072,458	41,630,810
Market risk benefits	8, 14	52,548	15,342
Other assets		29,625	—
Total Assets		\$ 56,969,218	\$ 47,609,592
LIABILITIES			
Policyholders' account balances	8, 12	\$ 48,952,102	\$ 42,249,088
Future policy benefits	13	4,947,028	3,652,406
Market risk benefits	8, 14	141,021	158,688
Deferred tax liabilities	9	444,885	177,477
Other liabilities		50,182	40,014
Total Liabilities		54,535,218	46,277,673
<i>Commitments and Contingencies (Note 16)</i>			
EQUITY			
Common stock, \$1 par value; 500,000,000 shares authorized; 397,144,905 and 337,145,000 shares issued and outstanding as of December 31, 2025 and 2024, respectively	11	397,145	337,145
Additional paid-in capital	1	19,921	—
Retained earnings		1,982,790	914,102
Accumulated other comprehensive income	10	34,144	80,672
Total Equity		2,434,000	1,331,919
Total Liabilities and Equity		\$ 56,969,218	\$ 47,609,592

See accompanying notes to consolidated financial statements.

FREESTONE RE LTD.
CONSOLIDATED STATEMENTS OF OPERATIONS
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(In thousands of United States Dollars)

	<i>Notes</i>	2025	2024
REVENUES			
Net premiums		1,291,351	1,494,363
Net investment results from funds withheld	7	3,578,936	1,015,608
Other investment income		12,764	14,555
Total revenues		4,883,051	2,524,526
BENEFITS, LOSSES AND EXPENSES			
Benefits assumed, net		380,290	61,639
Interest sensitive contract benefits		1,801,792	394,923
Amortization of cost of reinsurance	5	448,737	58,253
Change in future policy benefits	13	1,217,424	1,499,077
Change in fair value of market risk benefits	14	(34,465)	37,198
Change in deferred policy acquisition costs	4	(1,341,231)	(29,966)
Other reinsurance expenses	6	992,936	79,149
Operating expenses		20,494	6,062
Total benefits and expenses		3,485,977	2,106,335
Net income before income taxes		1,397,074	418,191
Less: Provision (benefit) for income taxes			
Current	9	(29,160)	(1,947)
Deferred	9	357,546	(201,833)
Total provision (benefit) for income taxes		328,386	(203,780)
Net income		\$ 1,068,688	\$ 621,971

See accompanying notes to consolidated financial statements.

FREESTONE RE LTD.
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(In thousands of United States Dollars)

	<i>Notes</i>	2025	2024
Net income		\$ 1,068,688	\$ 621,971
Other comprehensive income (loss), net of tax			
Change in instrument-specific credit risk for market risk benefits		16,122	(8,477)
Change in discount rate for future policy benefits	<i>13</i>	(62,650)	88,169
Total other comprehensive income (loss), net of tax		(46,528)	79,692
Total comprehensive income		\$ 1,022,160	\$ 701,663

See accompanying notes to consolidated financial statements.

FREESTONE RE LTD.
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(In thousands of United States Dollars)

	Notes	Common Stock	Additional paid-in capital	Retained Earnings	Accumulated Other Comprehensive Income	Total Equity
Balance as of December 31, 2023		\$ 337,145	\$ —	\$ 292,131	\$ 980	\$ 630,256
Net income		—	—	621,971	—	621,971
Other comprehensive income	10	—	—	—	79,692	79,692
Balance at December 31, 2024		\$ 337,145	\$ —	\$ 914,102	\$ 80,672	\$ 1,331,919
Issuance of shares	11	60,000	—	—	—	60,000
Assumed on acquisition of subsidiary	1	—	19,921	—	—	19,921
Net income		—	—	1,068,688	—	1,068,688
Other comprehensive income (loss)	10	—	—	—	(46,528)	(46,528)
Balance at December 31, 2025		\$ 397,145	\$ 19,921	\$ 1,982,790	\$ 34,144	\$ 2,434,000

See accompanying notes to consolidated financial statements.

FREESTONE RE LTD.
CONSOLIDATED STATEMENTS OF CASH FLOW
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(In thousands of United States Dollars)

	<i>Notes</i>	2025	2024
OPERATING ACTIVITIES			
Net income		\$ 1,068,688	\$ 621,971
Adjustments to reconcile net income to net cash provided by (used in) operating activities:			
Income tax expense	9	(29,160)	(1,947)
Interest credited to policyholders' account balances		1,801,792	394,923
Expense allowance	6	789,263	79,149
Deferred federal income tax expense (benefit)	9	357,546	(201,833)
Amortization of cost of reinsurance	5	448,737	58,253
Changes in:			
Reinsurance funds withheld		(9,170,911)	(1,015,608)
Deferred policy acquisition costs	4	(1,341,231)	(29,966)
Policyholders' account balances		4,901,222	—
Future policy benefits		835,041	—
Market risk benefits		(34,465)	37,198
Benefits assumed		380,277	61,639
Other investment income		—	(14,555)
Other, net		(17,881)	38,600
Net cash used in operating activities		(11,082)	27,824
INVESTING ACTIVITIES			
Acquisition of subsidiary, net of cash acquired		255	—
Net cash used in investing activities		255	—
FINANCING ACTIVITIES			
Net cash provided by financing activities		—	—
NET INCREASE IN CASH AND CASH EQUIVALENTS			
		(10,827)	27,824
Cash and cash equivalents, beginning of the period		281,321	253,497
Cash and cash equivalents, end of the period		\$ 270,494	\$ 281,321
SUPPLEMENTARY CASH FLOW DISCLOSURE			
Cash taxes (paid) refunded		\$ 1,576	\$ (1,576)
Non-cash: Assumption of new modified coinsurance reserves and assets		—	35,384,048
Non-cash: Issuance of common stock in exchange for transfers into Reinsurance on funds withheld		60,000	—
Non-cash: Issuance of common stock as consideration paid for acquisition of a subsidiary		20	—
Non-cash: Cost of reinsurance capitalization		—	4,607,799

See accompanying notes to consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 1 – Organization and Nature of Operations

Freestone Re Ltd. (“the Company”) was incorporated under the laws of Bermuda on October 28, 2021. The Company is the directly wholly-owned subsidiary of ANGI Bermuda Holdings Ltd (“ANGI Bermuda”) and an indirectly wholly-owned subsidiary of American National Group, Inc. (“ANGI”) which is itself a wholly-owned subsidiary of BWS US Holdings LLC (“BWS US”), formerly known as BAMR US Holdings LLC. The Company is licensed as a Class C insurer under the Insurance Act 1978, as amended (“Bermuda Insurance Act”).

On November 27, 2025, there was a reorganization (“reorganization”) whereby ANGI contributed all of its shares in AEL Re Bermuda Ltd (“AEL Re”) to the Company, resulting in AEL Re becoming a wholly-owned subsidiary. AEL Re is a Bermuda exempted company and was deregistered under the Bermuda Insurance Act, effective December 31, 2024. It is dormant as of December 31, 2025 and has immaterial net assets.

In 2022, the Company entered into a Modified Coinsurance (“Modco”) Agreement with American National Insurance Company (“ANICO”), a Texas domiciled stock life, accident, and health insurance company and wholly-owned subsidiary of ANGI. The agreement (the “2022 Modco Agreement”) was effective as of January 1, 2022. This treaty assumed in-force annuity (Fixed Deferred Annuity, Fixed Index Annuity, and Multi-year Guaranteed Annuity), on a Modco basis, and a small number of credit accident and health insurance policies, on a coinsurance basis. The treaty also assumed 70% of the risk on new business on a Modco basis. The treaty was subsequently amended to stop the assumption of new business as of July 1, 2023. The Company entered into a Modco agreement with ANICO effective as of December 31, 2023, amending the 2022 Modco Agreement (the “2023 Modco Agreement”), under which ANICO ceded to the Company an additional block of approximately \$1.1 billion of in-force annuity reserve (Fixed Deferred Annuity, Fixed Index Annuity, and Multi-year Guarantee Annuity policies).

In September 2024, the Company entered into new Modco Agreement with ANICO (the “Amended and Restated Agreement”) effective June 30, 2024 amending and restating the 2022 and 2023 Modco Agreements, under which ANICO has continued ceding 100% of the risk on in-force annuity business and 70% of the risk on new business on a modified coinsurance basis and credit accident and health business on a coinsurance basis. The Amended and Restated Agreement also assumes certain Single Premium Immediate Annuity (“SPIA”) policies in force prior to the Amended and Restated Agreement effective date (approximately \$1.1 billion ceded reserves) and certain annuity policies issued from January 1, 2024 forward (approximately \$1.9 billion ceded reserves).

Additionally, in September 2024, the Company entered into a separate Modco reinsurance agreement with ANICO effective June 30, 2024 (the Pension Risk Transfer “PRT” Modco Agreement), under which the Company assumed certain in-force PRT transactions (approximately \$0.8 billion ceded reserves) and 80% of new business.

The Company entered into a longevity swap retrocession contract with a third party to cover longevity risks related to part of the PRT Modco Agreement. The effective date of this retrocession agreement is September 1, 2024.

The Company entered into Modco Agreements with its affiliates, American Equity Investment Life Holding Company and Eagle Life Insurance Company (collectively “AEL”), by which it assumes certain in-force and flow fixed deferred, fixed index, and payout annuity policies, including all supplements, endorsements, and riders. The effective date of these agreements are December 1, 2024.

Note 2 – Summary of Significant Accounting Policies and Practices

The consolidated financial statements (“financial statements”) and notes thereto have been prepared in conformity with accounting principles generally accepted in the United States of America (“US GAAP”) on a going concern basis and are reported in United States dollars (“USD”), rounded to the nearest thousand unless otherwise indicated.

The preparation of financial statements and related disclosures in conformity with US GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and reported amounts of revenues and expenses during the reported period. Included among the material (or potentially material) reported amounts and disclosures that require the use of estimates are fair value of certain financial assets, future policy benefits (“FPB”), market risk benefits (“MRB”), valuation of embedded derivatives in policyholders’ account balances (“PAB”), deferred income taxes including the recoverability of deferred tax assets. Actual results could differ from those estimates. Estimates and assumptions are reviewed periodically. Certain prior year amounts have been reclassified to conform to the current year presentation.

The significant accounting policies used in preparing these financial statements are summarized below.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 2 – Summary of Significant Accounting Policies and Practices (continued)

Cash and cash equivalents have durations that do not exceed 90 days at the date of acquisition, include cash on-hand and in banks, as well as amounts invested in money market funds, and are reported as “Cash and cash equivalents” in the statements of financial position.

Deferred policy acquisition costs (“DAC”) are capitalized costs related directly to the successful acquisition of new or renewal insurance and annuity contracts. Significant costs are incurred to acquire reinsurance contracts, including commissions and certain underwriting, policy issuance, and processing expenses. Insurance contracts are grouped into cohorts by contract type and issue year consistent with estimating the associated liability for future policy benefits.

DAC is amortized on constant level basis for the grouped contracts over the expected term of the related contracts to approximate straight-line amortization. The amortization base is policy count.

The assumptions used in the calculation for DAC are impacted by the changes in actuarial assumptions as a result of assumption reviews and updates for associated actuarial liabilities, which include full surrenders, partial withdrawals, mortality, utilization, premium persistency, reset assumptions associated with lifetime income benefit riders and the option budget assumption. The Company reviews and updates actuarial experience assumptions serving as inputs to the models that establish the expected life for DAC and other actuarial balances during the third quarter of each year, or more frequently if evidence suggests assumptions should be revised. The Company makes model refinements as necessary, and any changes resulting from these assumption updates are applied prospectively.

The capitalization and amortization of DAC are included in the “Change in deferred policy acquisition costs” on the statements of operations.

Reinsurance on funds withheld (“Modco”) is a receivable for amounts contractually withheld by the cedants in accordance with reinsurance agreements in which the Company acts as a reinsurer. The receivable represents assets that are held in custodial accounts that are legally segregated from the cedant’s general account and are managed in accordance with the respective investment management agreements. These assets are typically cash and cash equivalents and fixed income asset types. In the event of the cedant’s insolvency, the Company would need to assert a claim on the assets supporting the insurance reserves. However, the Company has the ability to offset amounts owed to the cedants. Interest accrues on these assets based upon the investment earnings on the underlying investments. The Company is subject to the investment performance and has all economic rights and obligations on the funds withheld assets. Derivatives embedded in reinsurance contracts which are not closely related to the host contract are separated and measured at fair value in the statements of financial position.

Embedded Derivatives. Under a Modco arrangement, the ceding company holds the assets backing the liabilities ceded and passes through to the reinsurer all investment risks and returns, including credit and interest rate related gains and losses. Based on the Derivatives Implementation Group Issue B36 (“DIG B36”), a specific interpretive guidance under ASC 815, *Derivatives and Hedging*, an embedded derivative exists to the extent the Company has a reinsurance arrangement with the ceding company but is exposed to credit risk of the issuers (i.e., unrelated third parties) of the Modco assets. According to FAS 133, *Accounting for Derivative Instruments and Hedging Activities*, when the embedded derivative is not clearly and closely related to the host contract, it must be bifurcated and accounted for separately at fair market value. The embedded derivative is presented within “Reinsurance funds withheld” in the statements of financial position. The changes in the fair value of the embedded derivatives is included in “Net investment results from funds withheld” in the statements of operations.

Federal income taxes. Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to taxing authorities within a year. The tax rates and laws used to compute the amounts are those that are enacted or substantively enacted at the end of each year.

Deferred income tax assets and liabilities are recognized to reflect the future tax consequences attributable to differences between the financial statement amounts of assets and liabilities and their respective tax bases. Deferred taxes are measured using enacted tax rates expected to apply in the years in which those temporary differences are expected to be recovered or settled.

The Company recognizes tax benefits on uncertain tax positions if it is “more-likely-than-not” the position based on its technical merits will be sustained by taxing authorities. The Company recognizes the largest benefit that is greater than 50% likely of being ultimately realized upon settlement. Tax benefits not meeting the “more-likely-than-not” threshold, if applicable, are included within “Other liabilities” in the consolidated statements of financial position. The Company recognizes interest expense and penalties related to uncertain tax positions, if applicable, as income tax expense in the statements of operations. Accrued interest expense and penalties related to uncertain tax positions are reported as “Other liabilities” in the statements of financial position.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 2 – Summary of Significant Accounting Policies and Practices (continued)

Cost of reinsurance is comprised of all amounts paid to the Company, less the expected recoveries and reimbursements to be paid to the ceding entity, plus or minus any assumed commission and expense allowance not representing reimbursement of acquisition costs. The cost of reinsurance is amortized on a straight-line basis over the remaining life of the underlying reinsurance contracts. Amortization is recorded in expenses within the Statement of Operations.

Policyholders' account balances ("PAB") represent the contract value that has accrued to the benefit of the policyholders related to investments-type contracts. For fixed products, these are generally equal to the accumulated deposits plus interest credited, reduced by withdrawals, payouts and accumulated policyholder assessments. Indexed product account balances with returns linked to the performance of a specified market index are equal to the sum of the fair value of the embedded derivatives and the host (or guaranteed) component of the contracts. The host value is established at inception of the contract and accreted over the policy's life at a constant level of interest. Interest credited or index credits to policyholders' account balances pursuant to accounting by insurance companies for certain long-duration contracts and changes in the fair value of the embedded derivatives are included in "Interest Sensitive Contract Benefits" in the statements of operations.

Future policy benefits ("FPB") is calculated as the present value of expected future policy benefits to be paid or on behalf of policyholders and certain related expenses, reduced by the present value of expected net premiums to be collected from policyholders. FPB relates to long duration insurance contracts such as deferred and immediate annuities with life contingencies, including PRT contracts. Significant assumptions used in the establishment of the FPB include longevity, mortality, and lapse rates as well as discount rates. Other principal assumptions include morbidity, incidence, terminations, claim-related expenses and other contingent events based on the respective product type. The Company groups contracts into annual or deal level cohorts based on product type and contract inception date for the purposes of calculating the liability for FPB.

The Company updates its estimate of cash flows over the entire life of a group of contracts using actual historical experience and current future cash flow assumptions. The Company reviews and updates cash flow assumptions at least annually during the third quarter of each year, and at the same time every year by cohort or product. The Company also reviews more frequently and updates its cash flow assumptions during an interim period if evidence suggests cash flow assumptions should be revised. Assumption revisions will be reflected in the net premium ratio and FPB calculation in the quarter in which assumptions are revised. The change in the liability due to actual experience is recognized in "Change in future policy benefits" in the statements of operations.

The change in FPB that is recognized in "Change in future policy benefits" in the statements of operations is calculated using a locked-in discount rate. The Company measures the FPB at each reporting period using both the locked-in discount rate and the current discount rate curves. The upper-medium grade discount rate used for interest accretion is locked in for the cohort and represents the original discount rate at the issue date of the underlying contracts. The FPB for all cohorts is remeasured to a current upper-medium grade discount rate at each reporting date through other comprehensive income. The Company generally interprets the original discount rate to be a rate comparable to that of a U.S. corporate single A rate that reflects the duration characteristics of the liability. The upper-medium grade discount rate is determined using observable market data, including published upper-medium grade discount curves. In situations where market data for an upper-medium grade discount curve is not available (e.g., in certain foreign jurisdictions), spreads are applied to adjust the available observable market data to an upper-medium grade discount curve.

Should the present value of actual and future expected benefits less day one FPB balance exceed the present value of actual and future expected gross premiums, the net premium ratio will be capped at 100% and a gross premium FPB will be held. The immediate charge, recognized in earnings through "Change in future policy benefits", will be the amount by which the uncapped net premium ratio exceeds 100% times the present value of future expected gross premium. This assessment will be performed at the cohort level.

Deferred profit liability ("DPL") is gross premiums received in excess of net premiums deferred at initial recognition for limited-payment products. Gross premiums are measured using assumptions consistent with those used in the measurement of the liability for future policy benefits, including discount rate, mortality, lapses and expenses.

The DPL is amortized and recognized as "Change in future policy benefits" in the statements of operations in proportion to expected future benefit payments from the respective insurance contracts. Interest is accreted on the balance of the DPL using the discount rate determined at contract issuance. The Company reviews and updates its estimate of cash flows from the DPL at the same time as the estimates of cash flows for the liability for future policy benefits. When cash flows are updated, the updated estimates are used to recalculate the DPL at contract issuance.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 2 – Summary of Significant Accounting Policies and Practices (continued)

The recalculated DPL as of the beginning of the current reporting period is compared to the carrying amount of the DPL as of the beginning of the current reporting period, and any difference is recognized as “Change in future policy benefits” in the statements of operations.

DPL is recorded in “Future policy benefits” on the statements of financial position and included as a reconciling item within the disaggregated rollforwards.

Market risk benefits (“MRB”) are measured at fair value at the seriatim level. Total attributed fees will include explicit rider fees and will not be negative or exceed total contract fees and assessments collectible from the contract holder. There are only rider charges and surrender charges. Surrender charges will not be included in the fair value measurement, as surrender charges do not fund any future benefits. Cash flows are projected using risk-neutral scenarios generated by cedants. The Company establishes MRB assets and liabilities for guaranteed minimum withdrawal benefits (“GMWB”) associated with equity-indexed annuity contracts. The actuarial assumptions used in the MRB calculation are the Company’s best estimate assumptions. Assumptions are adjusted to reflect fair value by applying a margin for non-hedgeable risk and an adjustment for own credit spread through the discount rate. The risk-free discount rate is the scenario specific US treasury rate.

The key assumptions for calculating the fair value of the MRBs are market assumptions such as equity market returns, interest rate levels, market volatility and correlations and policyholder behavior assumptions such as lapse, mortality, utilization and withdrawal patterns. Risk margins are included in the policyholder behavior assumptions. The assumptions are based on a combination of historical data and actuarial judgment. MRBs are classified as Level 3 fair value measurements as the fair value is based on unobservable inputs. The assumptions used for MRB are consistent with other fair value calculations performed by ANICO and AEL.

Net premiums include policyholder activity from our various insurance and annuity products. Annuity premiums received on limited-pay and supplemental annuity contracts involving a significant life contingency are recognized as revenue when due within “Net premiums” in the statements of operations.

Gross premiums for PRT contracts issued are recognized as revenue when due and collection is reasonably assured. When premiums are recognized, future policy benefits are computed, whereby premiums are offset by changes in future policy benefits included within “Change in future policy benefits” on the statements of operations, provided that net premium ratio does not exceed 100% (i.e., present value of total policyholder benefits and expenses does not exceed gross premiums). Premiums ceded are recognized when due and in accordance with the terms of the contractual agreement between the Company and reinsurer. Premium refunds, if any, are recognized on an accrual basis. Policyholder benefits are recorded in the statements of operations when they are due and incurred.

Net investment results from funds withheld include investment income on funds withheld. Changes in the fair value of funds withheld investments are included in the net investment results from funds withheld. Unrealized gain/(loss) on embedded derivatives is also included as part of the net investment result from funds withheld.

Interest sensitive contract benefits is comprised of changes in interest sensitive contract liabilities excluding deposits and withdrawals but including changes in the fair value of embedded derivatives. Gross premiums are recognized as revenue when due and collection is reasonably assured. When premiums are recognized, insurance reserves are computed, with the result that benefits, and expenses are matched with such revenue. Benefits paid are recorded when they are due and incurred. Change in reserves is calculated based on the difference between the ending and beginning reserves.

Foreign currency assets and liabilities are translated at rates of exchange prevailing on the date of the balance sheet and revenues and expenses are translated at average rates of exchange for the relevant period.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 3 – Recently Issued Accounting Pronouncements

During the year, the Company adopted the following Accounting Standard Updates (“ASU”), issued by the Financial Accounting Standards Board (“FASB”). ASUs not listed were assessed and either determined to be not applicable or are not expected to have a material impact on the Company’s financial statements or disclosures.

ASU 2023-09 – On December 14, 2023, the FASB issued ASU 2023-09, Income Taxes (Topic 740): Improvements to Income Tax Disclosures. The amendments in this ASU aim to enhance the transparency and decision-usefulness of income tax disclosures, particularly expanded disclosures about income taxes paid around the amount of income taxes paid disaggregated by federal, state, and foreign taxes, and the amount of income taxes paid disaggregated by individual jurisdictions in which income taxes paid is equal to or greater than 5 percent of total income taxes paid. This ASU was effective for fiscal years beginning after December 15, 2025 to be applied prospectively with an option for retrospective application, with early adoption permitted. This ASU was adopted by the Company on a retrospective basis. The Company has early adopted. See updated financial statement disclosures included in *Note 9 – Income Taxes*.

Note 4 - Deferred Policy Acquisition Costs

Deferred policy acquisition costs are shown below:

	Total
Beginning balance, January 1, 2024	\$ 101,761
Additions	41,143
Amortization	(11,177)
Ending balance, December 31, 2024	\$ 131,727
Additions	1,399,142
Amortization	(57,911)
Ending balance, December 31, 2025	\$ 1,472,958

Note 5 - Cost of Reinsurance

The table below presents the components of cost of reinsurance, net of amortization, during the years ended December 31, 2025 and 2024.

Beginning balance, January 1, 2024	\$ 672,670
New capitalization	4,607,799
Amortization	(58,253)
Ending balance, December 31, 2024	\$ 5,222,216
Amortization	(448,736)
Ending balance, December 31, 2025	\$ 4,773,480

Note 6 - Other Reinsurance Expenses

Other reinsurance expenses relate to additional costs incurred in obtaining insurance contracts. Other reinsurance expenses include the following:

	2025	2024
Expense allowance	\$ 789,263	\$ 79,149
New business contribution - LIBR Fees	200,436	—
Guaranty Fund Assessments	3,237	—
Total Other Reinsurance Expenses	\$ 992,936	\$ 79,149

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 7 - Embedded Derivatives

The fair values of embedded derivatives that have been separated from their host contracts, presented in the statements of financial position, are shown below:

		December 31, 2025	December 31, 2024
Location in the Statements of Financial Position		Assets	Assets
Modco arrangement	Reinsurance funds withheld	\$ 1,551,238	\$ 368,096

The following represents the amount of gains related to embedded derivatives recorded in the statements of operations:

		2025	2024
Location in the Statements of Operations			
Modco arrangement	Net investment results from funds withheld	\$ 913,969	\$ 349,350

Embedded derivatives are present within the Company's Modco arrangements and are fair valued using the "Floating Leg" method, whereby the value of the derivative is determined as the difference in the market value of assets and their respective book value (effectively, the unrealized gains and losses on the ModCo assets).

In 2025, the Company updated the valuation methodology of the DIG B36 embedded derivative from using a Total Return Swap "Fixed Leg" method to "Floating Leg" method. This update has been determined to be a change in estimate, as it is an adjustment to the carrying value of the derivative but continues to measure the derivative at fair value in accordance with ASC 815.

Note 8 - Fair Value of Financial Instruments

The carrying amount and fair value of financial instruments are shown below:

	December 31, 2025		December 31, 2024	
	Carrying Value	Market Value	Carrying Value	Market Value
Financial assets				
Cash and cash equivalents	\$ 270,494	270,494	\$ 281,321	281,321
Reinsurance funds withheld	\$ 50,072,458	50,072,458	\$ 41,630,810	41,630,810
Market risk benefits	\$ 52,548	52,548	\$ 15,342	15,342
Total financial assets	\$ 50,395,500	\$ 50,395,500	\$ 41,927,473	\$ 41,927,473
Financial liabilities				
Policyholders' account balances — embedded derivative	3,617,965	3,617,965	3,396,484	3,396,484
Market risk benefits	141,021	141,021	158,688	158,688
Total financial liabilities	\$ 3,758,986	\$ 3,758,986	\$ 3,555,172	\$ 3,555,172

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 9 - Income Taxes

A reconciliation of the effective tax rate to the statutory federal tax rate is shown below for the years ended December 31, 2025 and 2024:

	2025		2024	
	Amount	Rate	Amount	Rate
Net income before income taxes (Bermuda)	\$ 1,397,074		\$ 418,191	
Bermuda Statutory Tax Rate	\$ 209,561	15.0 %	\$ —	— %
Foreign tax effects:				
United States ("U.S."):				
Statutory tax rate difference between Bermuda and the U.S.	83,825	6.0 %	87,820	21.0 %
Effect of changes in tax laws or rates enacted in the current period	(175,241)	(12.5) %	(291,600)	(69.7) %
Effect of cross-border tax laws	209,561	15.0 %	—	— %
Tax credits, net	(209,561)	(15.0) %	—	— %
Changes in valuation allowances	194,948	14.0 %	—	— %
Nontaxable or nondeductible items	15,293	1.0 %	—	— %
Total income tax expense (benefit)	\$ 328,386	23.5 %	\$ (203,780)	(48.7) %

The tax effects of temporary differences that gave rise to the deferred tax assets and liabilities are shown below:

	December 31, 2025	December 31, 2024
DEFERRED TAX ASSETS:		
Market risk benefits	\$ 18,580	\$ 30,103
Bermuda tax	457,388	326,600
Tax carryforwards	50,244	42,734
Gross deferred tax assets	526,212	399,437
Valuation allowance	\$ (194,948)	\$ —
Deferred tax assets, net of valuation allowance	\$ 331,264	\$ 399,437
DEFERRED TAX LIABILITIES:		
Deferred policy acquisition costs	\$ 309,039	\$ 27,584
Reinsurance on funds withheld	191,417	209,478
Deferred intercompany gain	13,238	13,238
Other	15	14
Gross deferred tax liabilities	513,709	250,314
Total net deferred tax asset (liabilities)	\$ (182,445)	\$ 149,123

Below is a reconciliation of deferred tax assets (liabilities) as reported on the statements of financial position:

	December 31, 2025	December 31, 2024
Deferred tax asset	\$ 262,440	\$ 326,600
Deferred tax liability	444,885	177,477
Total net deferred tax asset (liability)	\$ (182,445)	\$ 149,123

For U.S. federal tax purposes, the Company made an election under Section 953(d) of the U.S. Internal Revenue Code of 1986, as amended, to be taxed as a U.S. entity. As such, the Company is included in the consolidated federal income tax return of BWS US. In accordance with the Company's tax sharing agreement with BWS US, tax liabilities are calculated as if each subsidiary filed a separate federal income tax return. If the Company has taxable income, it pays its share of the consolidated federal income tax liability to BWS US. However, if the Company incurs a tax loss, the tax benefit is recovered by decreasing subsequent year's federal income tax payments to BWS US.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 9 - Income Taxes (continued)

The Company is also party to a Bermuda tax sharing agreement with BWS Holdings Ltd., a direct subsidiary of Brookfield Wealth Solutions Ltd. (“BWS”), the Company’s ultimate parent entity. Under this agreement, BWS Holdings Ltd. reimburses its Bermuda subsidiaries, including Freestone, to the extent that BWS Holdings Ltd. or other Bermuda tax-resident subsidiaries utilize the Bermuda corporate income tax attributes.

We are required to evaluate the recoverability of our deferred tax assets and establish a valuation allowance, if necessary, to reduce our deferred tax assets to an amount that is more likely than not to be realized. Considerable judgment is required in determining whether a valuation allowance is necessary, and if so, the amount of such valuation allowance. In 2025, the Company determined that a portion of its deferred tax asset established under the Bermuda CIT regime was not more likely than not to be realized. As such, the Company recorded a valuation allowance of \$195 million against its Bermuda deferred tax asset. Although realization is not assured, management believes its remaining deferred tax assets will be realized and that as of December 31, 2025, no additional valuation allowance is required.

As of December 31, 2025, the Company had net operating loss carryforwards of \$174 million. If not utilized, these carryforwards will begin to expire in 2043.

For the years ended December 31, 2025 and 2024, the Company received a cash tax refund of \$1.6 million and paid cash taxes of \$1.6 million, respectively, to the Internal Revenue Service (“IRS”) for the U.S. tax jurisdiction.

As of December 31, 2025, there were no material income tax contingencies requiring recognition in our financial statements. The Company’s income tax returns are subject to examination by the IRS, generally for three years after they are due or filed, whichever is later. U.S federal income tax returns for tax years 2022 to 2024 are open to examination by the IRS.

Under the Inflation Reduction Act of 2022, a 15% corporate alternative minimum tax (“CAMT”) is imposed on the adjusted financial statement income of certain large corporations, effective for taxable years beginning after December 31, 2022. As of December 31, 2025, the Company is not expected to be subject to the CAMT and as such, had no impact on our financial statements.

Bermuda Corporate Income Tax Regime

In December 2023, the Government of Bermuda enacted a corporate income tax (“CIT”) regime, designed to align with the Organization for Economic Cooperation and Development’s (“OECD”) global minimum tax rules. The Corporate Income Tax Act 2023 came into operation in its entirety on January 1, 2025. The regime applies a 15% CIT to Bermuda businesses that are part of Multinational Enterprise (“MNE”) groups with annual revenue of €750 million or more. On December 11, 2025, the Government of Bermuda enacted further amendments to the Bermuda Tax Act to align the calculation of the ETA with the Administrative Guidance issued by OECD in January 2025. Under these changes, any deferred tax liability that would otherwise arise solely from the mechanical calculation of the ETA is eliminated by reducing the amount to zero. As a result of these amendments, the Company increased its deferred tax asset by \$175 million in 2025. As of December 31, 2025, the Company had a current tax asset of \$29 million and a deferred tax asset of \$457 million, before valuation allowance, related to this regime.

Note 10 - Accumulated Other Comprehensive Income

The components of and changes in accumulated other comprehensive income are shown below:

	Change in instrument-specific credit risk for market risk benefits	Change in discount rate for future policy benefits	Total
Balance as of January 1, 2024	\$ 980	\$ —	\$ 980
Other comprehensive income	(10,731)	111,607	100,876
Deferred income tax benefit expense	2,253	(23,437)	(21,184)
Balance as of December 31, 2024	\$ (7,498)	\$ 88,170	\$ 80,672
Other comprehensive income	20,408	(79,304)	(58,896)
Deferred income tax benefit expense	(4,286)	16,654	12,368
Balance as of December 31, 2025	\$ 8,624	\$ 25,520	\$ 34,144

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 11 - Related Party Transactions

As of December 31, 2025 and 2024, the Company had a deposit of \$266 million and \$253 million, respectively, with Brookfield Treasury Management Ltd., formerly known as Brookfield Treasury Management Inc.. This amount is included in cash and cash equivalents in the Company's statements of financial position. For the years ended December 31, 2025 and 2024, the Company earned interest income of \$13 million and \$15 million, respectively on the deposit.

The Company has access to a Letter of Credit ("LOC") facility in the amount of \$383 million to support anticipated growth. ANGI Bermuda is the LOC applicant and borrower under the facility, while the Company is the beneficiary. See *Note 15 - Regulatory Capital* for more details on the regulatory impacts.

During 2025, the Company entered into a Capital and Liquidity Maintenance Agreement with BWS to support Freestone's capital and liquidity position.

For the year ended December 31, 2025, the Company paid BNRE Services (Barbados) Inc. \$901 (2024 – \$0), BNRE Bermuda Services Ltd. \$84 (2024 – \$0), North End Re Ltd. \$1,877 (2024 – \$584), North End Re (Cayman) SPC \$2,385 (2024 – \$0) and ANICO \$248 (2024 – \$86) for administrative and other services.

The Company has access to a bilateral credit facility with ANGI with the capacity of \$300 million. As of December 31, 2025 and 2024, there were no amounts drawn on the facility.

As of December 31, 2025 and 2024, the Company held certain investments in related parties within the Modco in the amounts of \$4.6 billion and \$2.7 billion, respectively. The Company's investments in related parties are net of maturities, prepayments and sales that occurred during the year and reflect any other changes in carrying values during the year, such as fair value changes for investments carried at fair value. Investment transactions with related parties are accounted for in the same manner as those with unrelated parties in the financial statements, and amounts disclosed in this paragraph represent the value of investments at the time of the transaction.

On March 31, 2025, the Company issued 60,000,018.96 common shares to ANGI at par value USD \$1.00. As part of the reorganization in November 2025, all common shares of the company were transferred to ANGI Bermuda.

Note 12 – Policyholders' Account Balances

Policyholders' account balances relate to investment-type contracts. Investment-type contracts principally include traditional individual fixed rate annuities and fixed index annuities in the accumulation phase and non-variable group annuity contracts.

The balances and changes in policyholders' account balances are as follows.

	December 31, 2025		December 31, 2024	
Balance, beginning of year	\$	42,249,088	\$	11,652,642
Issuances		10,838,154		32,429,072
Surrenders and withdrawals		(5,786,336)		(2,227,549)
Interest credited		1,651,196		394,923
Balance, end of year	\$	48,952,102	\$	42,249,088
Weighted average crediting rate		2.5 %		3.4 %
Net amount at risk ⁽¹⁾	\$	691,036	\$	1,194,819
Cash surrender value	\$	44,277,943	\$	38,380,034

⁽¹⁾ Net amount at risk is defined as the current guarantee amount in excess of the current account balance.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 12 – Policyholders’ Account Balances (continued)

The balance of account values by range of guaranteed minimum crediting rates and the related range of difference, in basis points, between rates being credited to policyholders and the respective guaranteed minimums follow (in thousands).

As at December 31, 2025	Range of Guaranteed Minimum Crediting Rate	At Guaranteed Minimum	1 - 50 Basis Points Above	51 - 150 Basis Points Above	> 150 Basis Points Above	Other ⁽¹⁾	Total
Annuities	0% - 1%	\$ 2,316,721	\$ 1,224,245	\$ 2,215,227	\$ 2,732,936	\$ —	\$ 8,489,129
	1% - 2%	1,035,201	245,260	690,248	743,667	—	\$ 2,714,376
	2% - 3%	1,227,065	348,815	147,317	10,311,196	—	\$ 12,034,393
	Greater than 3%	83,206	5,148	6,591	7,188	—	\$ 102,133
	Other ⁽¹⁾	—	—	—	—	24,864,605	\$ 24,864,605
	Total	\$ 4,662,193	\$ 1,823,468	\$ 3,059,383	\$ 13,794,987	\$ 24,864,605	\$ 48,204,636

⁽¹⁾ Other includes products with either a fixed rate or no guaranteed minimum crediting rate or allocated to index strategies.

As at December 31, 2024	Range of Guaranteed Minimum Crediting Rate	At Guaranteed Minimum	1 - 50 Basis Points Above	51 - 150 Basis Points Above	> 150 Basis Points Above	Other ⁽¹⁾	Total
Annuities	0% - 1%	\$ 2,781,047	\$ 1,314,833	\$ 1,758,492	\$ 2,098,052	\$ —	\$ 7,952,424
	1% - 2%	790,820	306,518	985,549	1,176,086	—	\$ 3,258,973
	2% - 3%	1,148,388	324,306	98,796	6,509,539	—	\$ 8,081,029
	Greater than 3%	91,275	6,503	1,396	5,991	—	\$ 105,165
	Other ⁽¹⁾	—	—	—	—	22,362,173	\$ 22,362,173
	Total	\$ 4,811,530	\$ 1,952,160	\$ 2,844,233	\$ 9,789,668	\$ 22,362,173	\$ 41,759,764

⁽¹⁾ Other includes products with either a fixed rate or no guaranteed minimum crediting rate or allocated to index strategies.

Note 13 - Future Policy Benefits

The reconciliation of the balances described in the table below to the “Future policy benefits” in the statements of financial position is as follows.

	December 31, 2025	December 31, 2024
Future policy benefits:		
SPIA	\$ 980,115	\$ 933,527
PRT	3,909,085	2,674,496
Deferred profit liability	\$ 57,828	44,383
Total future policy benefits	\$ 4,947,028	\$ 3,652,406

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
(In thousands of United States Dollars, except as otherwise noted)

Note 13 - Future Policy Benefits (continued)

The balances and changes in the liability for future policy benefits are as follows:

As at and for the year ended December 31, 2025	SPIA		PRT		Total	
Present value of expected net premiums						
Balance, beginning of year	\$	—	\$	—	\$	—
Net issuances		95,217		1,197,235		1,292,452
Net premiums collected		(95,217)		(1,197,235)		(1,292,452)
Balance, end of year	\$	—	\$	—	\$	—
Present value of expected future policy benefits						
Balance, beginning of year	\$	933,527	\$	2,674,496		3,608,023
Beginning balance at original discount rate		967,601		2,752,029		3,719,630
Effect of changes in cash flow assumptions		9,569		2,524		12,093
Effect of actual variances from expected experience		49		(35,024)		(34,975)
Adjusted beginning of period balance		977,219		2,719,529		3,696,748
Net issuances		97,572		1,210,700		1,308,272
Interest accrual		41,127		141,385		182,512
Benefit payments		(123,959)		(253,287)		(377,246)
Foreign currency translation		—		100,616		100,616
Ending balance at original discount rate		991,959		3,918,943		4,910,902
Effect of changes in discount rate assumptions		(11,844)		(22,687)		(34,531)
Balance, end of year	\$	980,115	\$	3,896,256	\$	4,876,371
Net liability for future policy benefits						
		980,115		3,896,256		4,876,371
Less: Reinsurance recoverables		—		12,829		12,829
Net liability for future policy benefits, after reinsurance recoverable	\$	980,115	\$	3,909,085	\$	4,889,200
Weighted average liability duration of future policy benefits (years)						
		7		9		
Undiscounted expected future benefit payments	\$	1,479,277	\$	7,125,805		
Weighted average interest accretion rate (%)		4.30 %		4.51 %		
Weighted average current discount rate (%)		5.00 %		5.37 %		

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 13 - Future Policy Benefits (continued)

As at and for the year ended December 31, 2024	SPIA		PRT		Total
Present value of expected net premiums					
Balance, beginning of year	\$	—	\$	—	\$ —
Issuances		862,541		2,776,194	3,638,735
Net premiums collected		(862,541)		(2,776,194)	(3,638,735)
Balance, end of year	\$	—	\$	—	\$ —
Present value of expected future policy benefits					
Balance, beginning of year	\$	—	\$	—	—
Issuances		983,287		2,769,553	3,752,840
Interest accrual		11,257		17,160	28,417
Benefit payments		(26,943)		(34,684)	(61,627)
Ending balance at original discount rate		967,601		2,752,029	3,719,630
Effect of changes in discount rate assumptions		(34,074)		(77,533)	(111,607)
Balance, end of year	\$	933,527	\$	2,674,496	\$ 3,608,023
Net liability for future policy benefits		933,527		2,674,496	3,608,023
Weighted average liability duration of future policy benefits (years)		7		10	
Undiscounted expected future benefit payments	\$	1,214,771	\$	5,164,904	
Weighted average interest accretion rate (%)		4.72 %		4.80 %	
Weighted average current discount rate (%)		5.45 %		5.59 %	

The amount of revenue and interest recognized in the statements of operations follows:

	2025		2024	
	SPIA	PRT	SPIA	PRT
Gross Premiums or Assessments	\$ 97,742	\$ 1,197,235	\$ 22,511	\$ 1,472,486
Interest Expense	41,127	141,385	11,257	17,160

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 14 - Market Risk Benefits

The Company assumes certain fixed indexed annuity and fixed rate annuity contracts that provide minimum guarantees to policyholders. The balances of and changes in the guaranteed benefits associated with annuity contracts as of and for the years ended December 31, 2025 and 2024 were as follows.

	December 31, 2025	December 31, 2024
Balance, beginning of year	\$ 143,346	\$ 5,770
Balance, beginning of year, before effect of changes in the instrument-specific credit risk	128,371	(27,438)
Issuance	(490)	92,408
Interest accrual	4,906	1,045
Attributed fees collected	10,137	15,504
Effect of changes in interest rates	(26,637)	16,041
Effect of changes in equity markets	(8,218)	(15,081)
Effect of changes in equity index volatility	(1,903)	—
Effect of changes in future expected policyholder behavior	(11,703)	6,416
Effect of changes in other future expected assumptions	4,930	12,835
Balance, end of year, before effect of changes in the instrument-specific credit risk	99,393	101,730
Effect of changes in the ending instrument-specific credit risk	(10,920)	41,616
Balance, end of year	88,473	143,346
Net amount at risk (in millions) ⁽¹⁾	\$ 685	\$ 774
Weighted-average attained age of contract holders (years)	70	70

⁽¹⁾ Net amount at risk is defined as the current guarantee amount in excess of the current account balance.

The reconciliation of market risk benefits by amounts in an asset position and in a liability position to the “Market risk benefits” amount in the statements of financial position follows.

	December 31, 2025			December 31, 2024		
	Asset	Liability	Net	Asset	Liability	Net
Annuity	\$ 52,548	\$ (141,021)	\$ 88,473	\$ 15,342	\$ (158,688)	\$ 143,346

Note 15 - Regulatory Capital

The Company is licensed by the BMA as a Class C insurer and is subject to the Insurance Act 1978, as amended (“Bermuda Insurance Act”) and regulations promulgated thereunder. Under the Bermuda Insurance Act, the Company is subject to capital requirements calculated using the Bermuda Solvency and Capital Requirement (“BSCR”) model, which is a standardized statutory risk-based capital model used to measure the risk associated with the Company’s assets, liabilities, and premiums. The Company’s required statutory economic capital and surplus under the BSCR model is referred to as the enhanced capital requirement (“ECR”). The Company is required to calculate and submit confirmation of compliance with the ECR to the Bermuda Monetary Authority (“BMA”) annually. In addition, the Company is required to calculate a further solvency measure typically based on the Bermuda statutory accounts, referred to as the minimum solvency margin (“MSM”) and confirm compliance annually.

BMA assesses the quality of an insurer’s capital resources with a “3-tiered capital system”. Highest quality capital is classified as Tier 1 Capital, lesser quality capital is classified as either Tier 2 or Tier 3 Capital. As of December 31, 2025, the Company’s eligible capital used to meet the MSM and ECR was made up of \$2,434 million Tier 1 Capital and \$200 million Tier 2 Capital from an LOC facility (See Note 17 - Subsequent Events for more details about the LOC facility) (2024 – \$1,332 million Tier 1 Capital). The Company has met all minimum regulatory requirements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(In thousands of United States Dollars, except as otherwise noted)

Note 16 - Commitments and Contingencies

From time to time, the Company may be involved in claims, lawsuits, inquiries, investigations and other legal or regulatory proceedings in connection with the conduct of its business. The Company establishes an accrued liability for claims, lawsuits, inquiries, investigations and other legal or regulatory proceedings only when those matters represent loss contingencies that are both probable and reasonably estimable. In such cases, there may be an exposure to loss in excess of any amounts accrued. No amounts were recorded for loss contingencies as of December 31, 2025.

Note 17 - Subsequent Events

Subsequent to December 31, 2025, a Letter of Credit (“LOC”) facility in the amount of \$383 million was established with ANGI Bermuda as applicant and Freestone as beneficiary. The LOC represents Tier 2 Capital of which \$200 million was issued effective December 31, 2025. See *Note 11 - Related Party Transactions* for more details on the parties in the agreement and *Note 15 - Regulatory Capital* for more details on the regulatory impacts.